VALUE CREATION
VALUE CAPTURE
FIRM´S PERFORMANCE

Session 2

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1. Value Creation
2. Shareholder vs. Stakeholder
3. Performance & Profit Analysis
    a. Backward-looking Ratios
    b. Forward-looking Ratios
    c. Balanced Scorecard (BSC)
4. Beyond Profit (Corporate Values and CRS)

Rabobank (Bank in Netherlands) Value creation model (2m)
https://www.youtube.com/watch?v=Bskadobl5HQ

Watch the animation

Value creation model

“VALUE first

…… then will

come the

money”



- UNIQUE PURPOSE → Every business has a unique purpose

E.g. Henry Ford (Ford Motor Company), Steve Jobs (Apple), Jack Ma (Alibaba) were each motivated by a distinct vision.

- **VALUE** → is the monetary worth of a product for the customer. It varies between customers needs and their appreciations "marketing"

- **PRICE** → is the monetary payment done by the customer.

- **VALUE CREATION** → Organizations need to create value for:
  - **CUSTOMERS** → to create value for customers
  - **THE ORGANIZATION** → to appropriate some of that value in the form of profit—in order to ensure the survival of the firm.

VALUE "must be" > PRICE

"***Value is what you get, price is what you pay***" (Warren Buffett)

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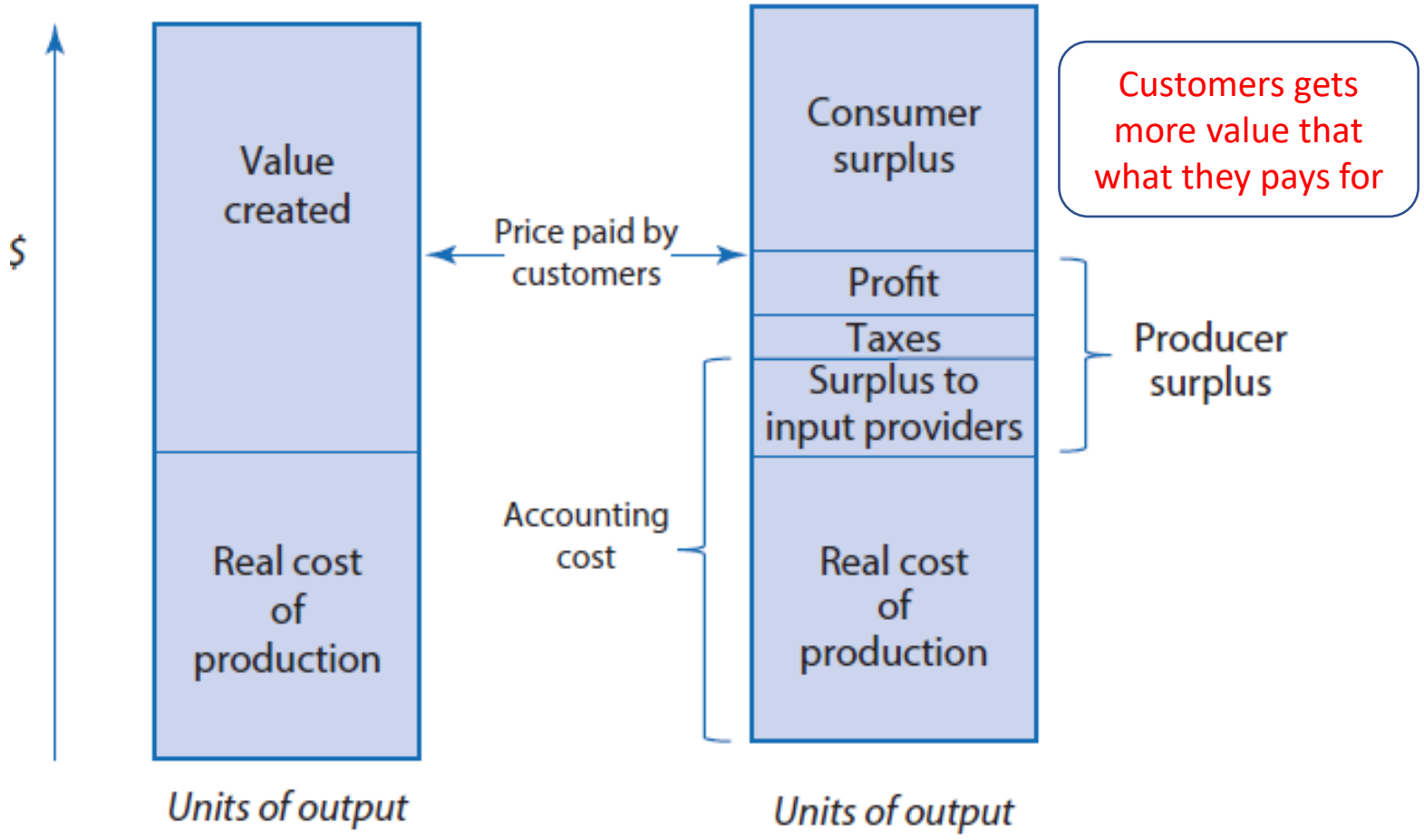
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“Value is what makes the difference (for Individuals and for Organizations”



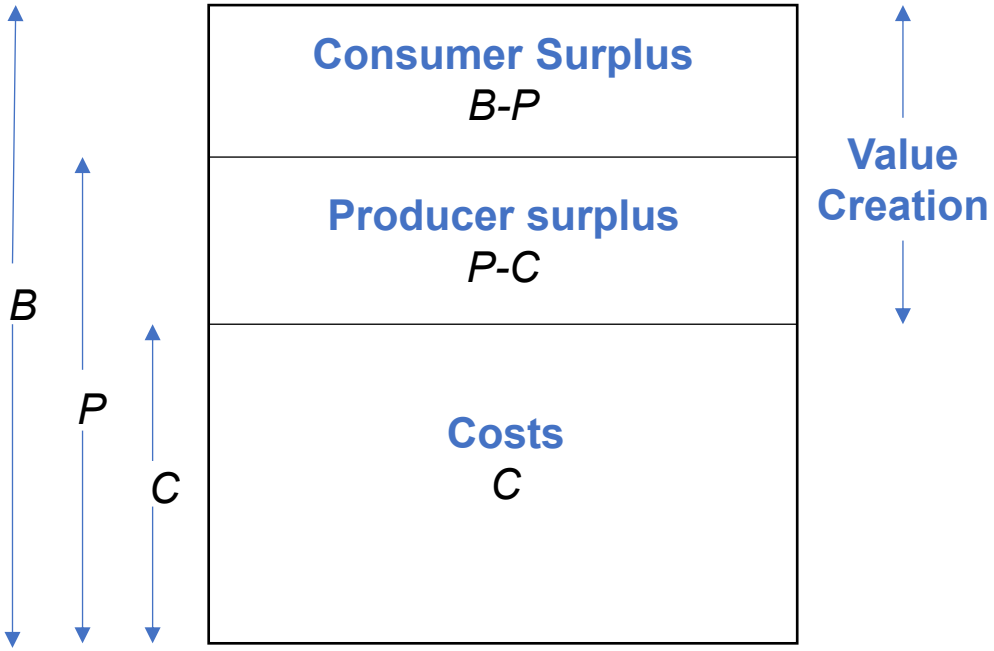
A. Value created: total customer value *less* real cost of production

B. Value created: consumer surplus *plus* producer surplus



Value creation

B = Max. willingness to pay
P = Price
C = Costs



Value created = Consumer surplus + Producer surplus =

= (*B-P*) + (*P-C*) = *B-C*

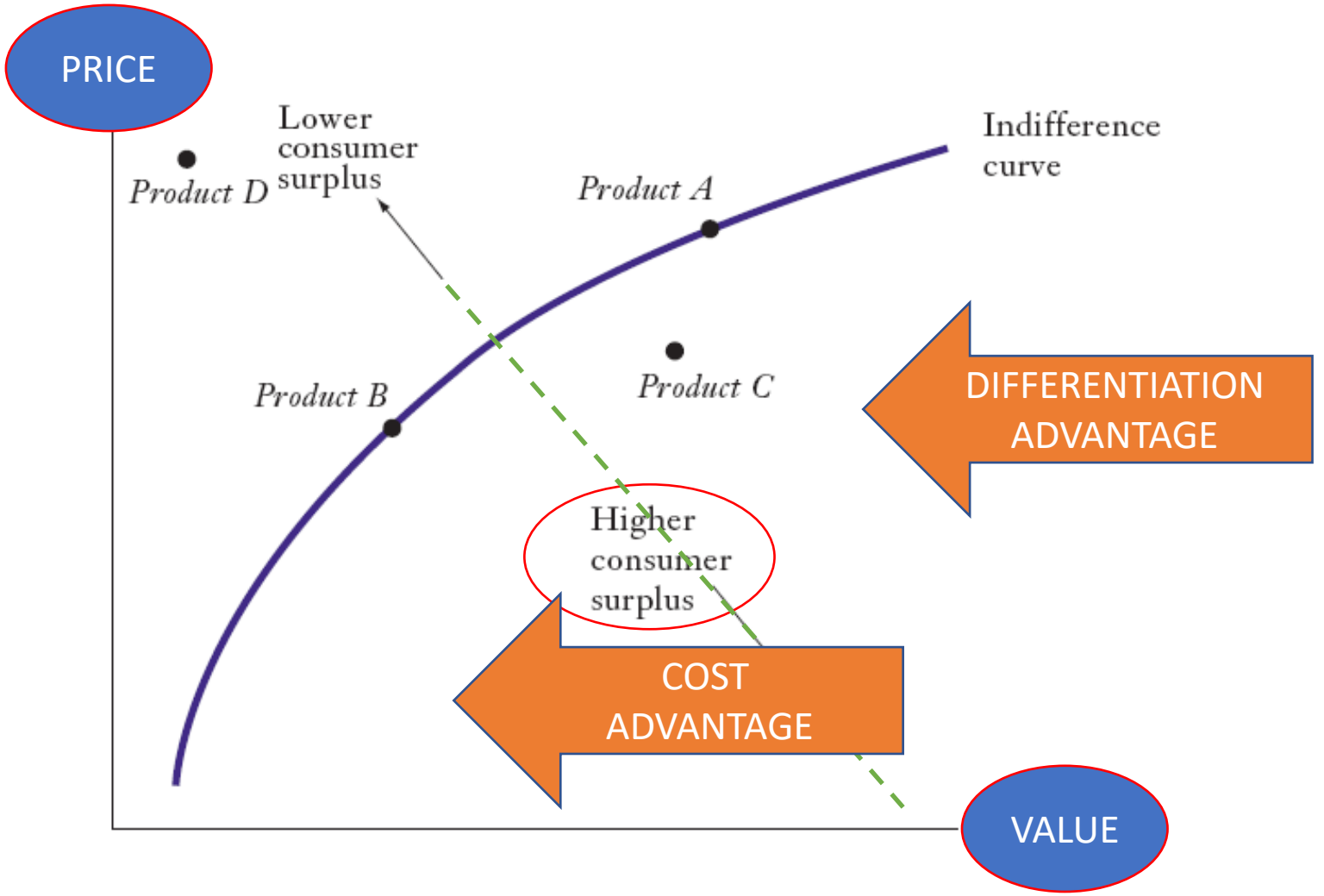
From value creation to competitive advantage

- **B-C>0:** product is economically viable
- However, **B-C>0 does not imply profit >0**
  - If several firms create the same economic value, they compete for consumers by bidding down prices
  - Perfect competition → firms make zero profit and consumers capture all economic value

- For profit>0 in a competitive industry:

  (B-C) of Firm 1 > (B-C) of Firm 2

- **Competitive advantage:** Lead in B-C compared to other firms
- **Sustainable competitive advantage:** Competitors cannot easily replicate the same B-C


PRICE
Lower consumer surplus
Indifference curve
Product D
Product A
Product B
Product C
DIFFERENTIATION ADVANTAGE
Higher consumer surplus
COST ADVANTAGE
VALUE

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The shareholder approach

The firm exists to maximize the wealth of its owners

The stakeholder approach

The firm is a coalition of interest groups (Must create value for all of them)

Strategy analysis →

Primary goal of the firm is maximizing profit over its lifetime

Justifications:

1) **Competition → Competition erodes profitability.**
2) **Acquisition → Firms that do not maximize profits are vulnerable to acquisition.**
3) **Convergence of interests → Long run profitability requires satisfied customers, motivated employees, and good relations with governments and communities.**

Strategy analysis →

Identifying the sources of profit available for the firm

Stakeholders

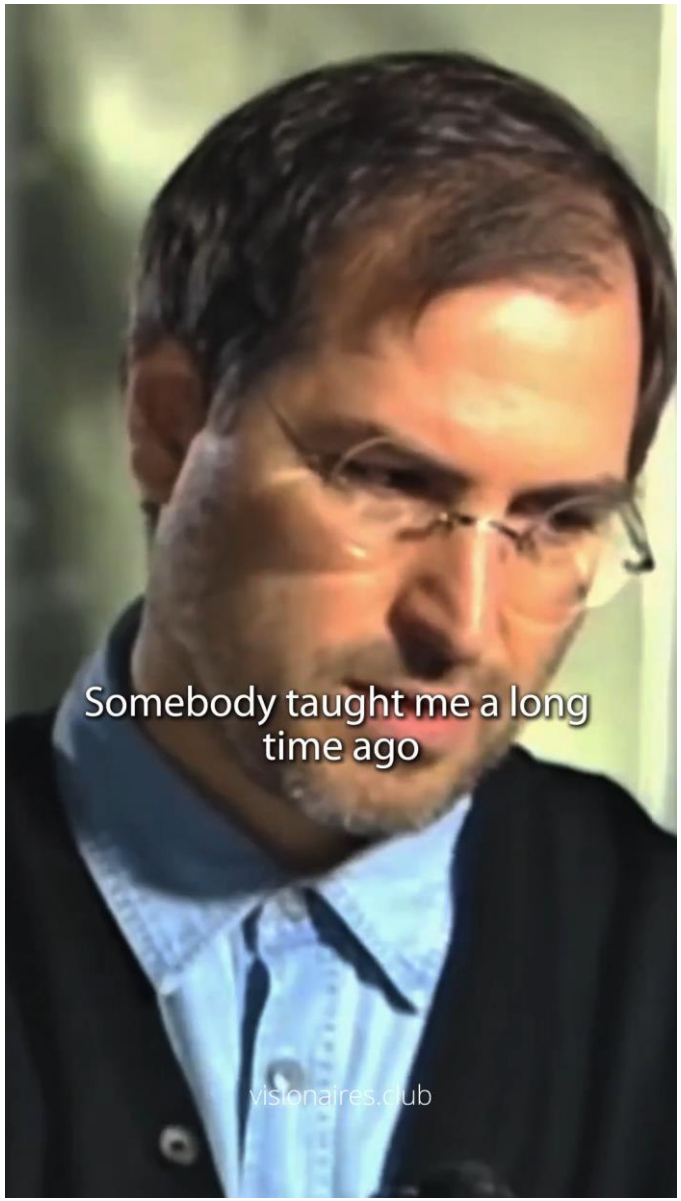
- **Shareholders / Owners / Management**
- **Customers** → loyalty to the trademark
- **Suppliers** → Strong relations
- **Employees** and Collaborators
- Government, Local corporations, Tax authorities..
- Media and Others….

1. Evaluate the importance of all of them
2. What is the deal? What do they really want?
3. Is it possible to satisfy them all? How?
4. Analyze the incompatibilities between what they want?
5. Do your best -> Success occurs when you get good balance.

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What is Profit? Different Measures Give Different Rankings (data for 2017)

Company	*Market capitalization ($ billion)*	*Net income ($ billion)*	*Return on Sales ROS (%)*	*Return on Equity ROE (%)*	*Return on Assets ROA (%)*	
Apple	824	48.4	26.9	39.0	16.3	
Amazon	689	3.0	2.3	9.6	3.1	
Alibaba	480	6.2	29.8	21.9	9.1	
JPMorgan Chase	397	24.4	50.2	9.5	1.4	
ExxonMobil	358	19.7	5.2	11.8	5.7	
Wal-Mart Stores, Inc.	310	13.6	4.1	14.9	11.9	
Toyota	204	15.8	7.6	13.2	4.1	



"Take care of the top line (Value Creation), Bottom line Will follow" (Steve Jobs)

BACKWARD-LOOKING RATIOS → Based on Balance Sheet & Profits-Losses Sheet

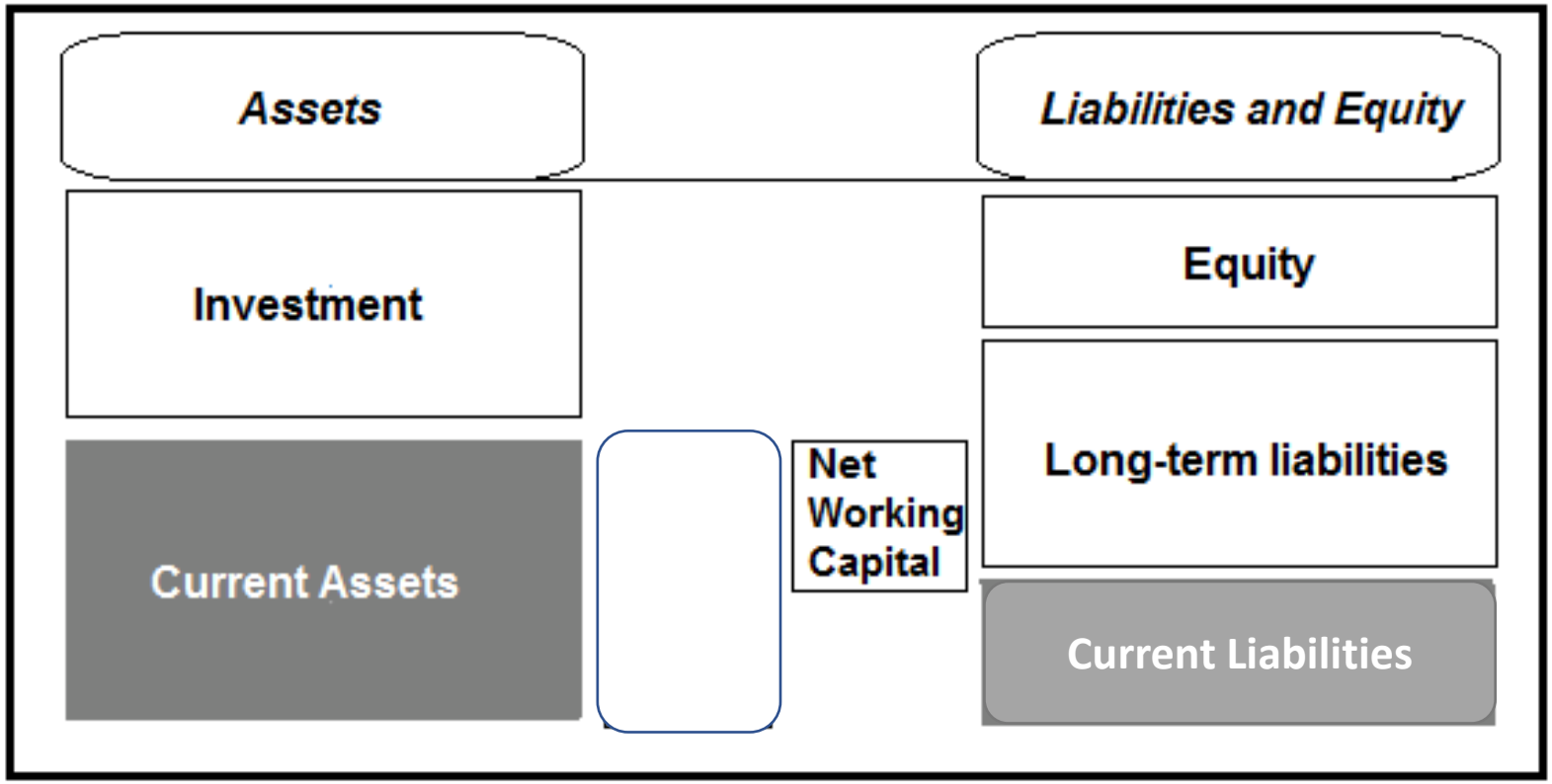
	Ratio	*Formula*	*Notes*
Use of Capital	**Return on Investment (ROI)**	$\frac{\text{EBIT (Operating profit, before interest, after tax)}}{\text{Fixed Assets – Current liabilities}}$	The return on investment (ROI) measures how efficient is the company using capital for an investment. This ratio is very similar to ROCE (Return on capital employed)
Use of Equity	**Return on Equity (ROE)**	$\frac{\text{Net income}}{\text{Equity}}$	Measures the firm's success in using shareholders' capital to generate profits that are available to remunerate investors.
Use of Assets	**Return on Assets (ROA)**	$\frac{\text{Net Income}}{\text{Total assets}}$	Measures the efficiency of the firm using their assets.
Margin from sales	**Gross margin**	$\frac{\text{Sales – Cost of goods sold}}{\text{Sales}}$	Gross margin measures how much value a firm adds value to the goods and services it buys in.
	Operating margin	Operating profit / Sales	Operating margin and net margin measure a firm's ability to **extract profit from its sales**, but influenced by differences in capital intensity between different types of business.
	Net margin	Net income / Sales (Revenues)	

BACKWARD-LOOKING RATIOS → Based on Balance Sheet & Profits-Losses Sheet

Watch at Home: Introduction to ROIC vs ROE vs ROA vs ROI (5 m.)

https://www.youtube.com/watch?v=cBaFHRfpOK8





Net Working Capital (NWC) = The capital of a business which is used in its day-to-day trading operations.

Net working Capital = Current assets - Current liabilities

Strategy of this company: Expanding its business by increasing the number of products (from T-shirts only the company is expanding its product portfolio into jumpers, trousers, skirts, now launching also swimwear and sportswear)

Does this strategy works well along the years?

SESSION 2 – EVALUATING FIRM'S PERFORMANCE

		Quarter Data	M €	M €	M €	M €	%	M €	%	M €	%
		(M €)	2022	2021	2020	Variation 22/20		Variation 22/21		Variation 21/20	
Good / Bad	Increase	Fixed Assets	981,15	911,73	724,73	256,43	26%	69,43	8%	187,00	19%
Good / Bad	Increase	Current Assets	437,00	424,25	382,50	54,50	12%	12,75	3%	41,75	10%
		Total Assets	**1.418,15**	**1.335,98**	**1.107,23**	**310,93**	**22%**	82,18	6%	228,75	16%
								0,00			
Good / Bad	Increase	Equity	622,73	571,03	557,13	65,60	11%	51,70	9%	13,90	2%
Good / Bad	Increase	Long Term Debts	137,58	137,73	0,68	136,90	100%	-0,15	0%	137,05	100%
Good / Bad	Increase	Current Liabilities	547,50	539,00	484,00	63,50	12%	8,50	2%	55,00	10%
		Total Liabilities	**1.307,80**	**1.247,75**	**1.041,80**	**266,00**	**20%**	60,05	5%	205,95	16%
								0,00			
GOOD	Increase	Sales	2.595,75	2.352,88	1.946,50	649,25	25%	242,88	10%	406,38	16%
BAD	Increase	Operating Costs	-2.469,78	-2.089,40	-1.723,00	-746,78	30%	-380,38	18%	-366,40	15%
Very BAD	Decrease	Operating Income	125,98	263,48	223,50	-97,53	-77%	-137,50	-52%	39,97	32%

		RATIO CALCULATION	2022	2021	2020
Current Assets - Current Liabilities	Negative Working Capital	Working Capital	-110,50	-114,75	-101,50
operating income / (fixed asset + working capital)	ROI getting better over time. 35% is a good ROI	ROI (Return on Investment)	14,5%	33,1%	35,9%
Operating income / Sales	ROS increasing	ROS (Return on Sales)	4,9%	11,2%	11,5%
Operating income / Equity	ROE dobles in 3 years. 40% is very good	ROE (Return on Equity)	20,2%	46,1%	40,1%
Operating income / total assets	ROA dobles in 3 years	ROA (Return on Assets)	8,9%	19,7%	20,2%
Sales / (fixed assets + working capital)	Good capital turnover. Decrasing the use od assets.	Capital Turnover	298,1%	295,2%	312,3%

PROBLEM: This way of growing is not profitable.

SOLUTION: REDUCE TO ONLY PROFITABLE PRODUCTS ONLY

Strategy of this company: Expanding its business by increasing the number of products (from T-shirts only the company is expanding its product portfolio into jumpers, trousers, skirts, now launching also swimwear and sportswear)

Does this strategy works well along the years?

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FORWARD-LOOKING RATIOS →

Estimating the value of the enterprise:

- **Net present value of free cash flows**: $V = \sum_t \frac{C_t}{(1 + WACC)^t}$

Where: V = Market value of the firm.
C_t = free cash flow in time t
WACC = Weighted average cost of capital

- **Market Capitalization:**

Valuation of the company as the sum of the price of all company´s outstanding shares.

Market Capitalization = Nº outstanding Shares x Price per share

In principle, DCF approach to enterprise value maximization is the correct approach to choosing a strategy:

- Identify strategy alternatives
- Estimate cash flows and cost of capital for each strategy
- Select the strategy which generates the highest NPV.

But in practice:

1. Difficult to estimate cash flows more than 2 or 3 years ahead
2. Value maximization may encourage short-termism

Implications for strategy analysis:

- Simple guidelines can approximate value maximization, e.g.
  a) On existing assets— seek to maximize rate of return
  b) On new investment— Seek rate of return > cost of capital
- Use qualitative strategy analysis to evaluate future profit potential.

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Advantages and Disadvantages of some Performance Indicators

- **Using Revenues** to evaluate companies
  - Pro: Good indicator for evaluating demand. It is proxy for whether customers like (and buy) company's products and services.
  - Contra: Does not take into account a company's costs and expenses.
- **Using Income** to evaluate companies
  - Pro: Takes into account a company's revenue and expenses and can give hints as to whether a company is profitable.
  - Contra: Income is only available for the past and does not include future information.
- **Using Market capitalization** to evaluate companies
  - Pro: Takes into account a company's expected future performance and growth.
  - Contra: The future is uncertain and shareholders may err in their expectations.

Essential steps for a strategist to evaluate a firm's profitability

1. **Don´t evaluate on just one measure**

   Compare different measures

   Analyze performance measures along the time.

2. **Be careful when comparing** measures of firms operating in **different sectors**

   Across-sector comparisons may lead to inaccurate conclusions.

3. Take into account that **firms can be multi-business organizations**

   They are competing in different sectors and countries.

4. Be aware that **financial measures are subject to several measurement errors**

   They must be complemented by additional information about a firm's strategy.

5 . Appraising of current and past performance

Forward–looking measure: Stock market value *(volatile!)*

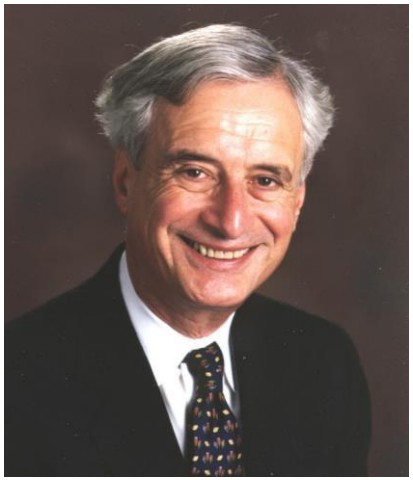
Backward–looking measure: Accounting ratios *(benchmarking useful!)*

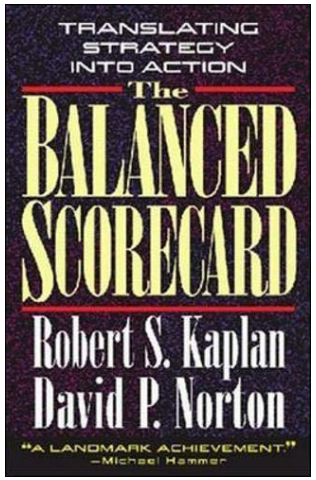
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BALANCED SCORECARD Introduction

Driving Corporate Performance: The Balanced Scorecard (3m.)
https://www.youtube.com/watch?v=oNy8kupW8oI

Introduction to Balanced Scorecard and Measurement tools (5m)
https://www.youtube.com/watch?v=SV7FDpPdPVQ







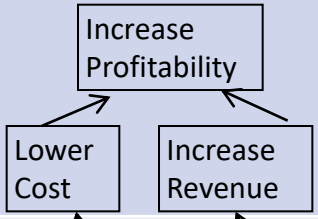
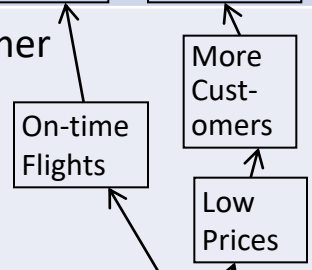
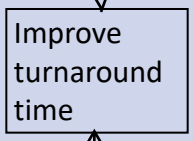
BALANCED SCORECARD Introduction

Introduction to Balanced Scorecard (5m) https://www.youtube.com/watch?v=SV7FDpPdPVQ



Balanced Scorecard

Balanced Scorecard for a Regional Airline

Simplified Strategy Map	Performance Measures	Targets	Initiatives
Financial 	• Market Value • Seat Revenue • Plane Lease Cost	• 25% per year • 20% per year • 5% per year	• Optimize routes • Standardize planes
Customer 	• FAA on-time arrival rating • Customer ranking • No. customers	• First in industry • 98% satisfaction • % change	• Quality management • Customer loyalty program
Internal 	• On Ground Time • On-Time Departure	• <25 Minutes • 93%	• Cycle time optimization program
Learning 	• % Ground crew stockholders • % Ground crew trained	• Year 1, 70% • Year 4, 90% • Year 6, 100%	• Stock ownership plan • Ground crew training

CORPORATE VALUES

Values and principles commit an organization to certain ethical precepts, provide guidelines for the behavior of its members, and shape its character and identity.

Shared corporate Values and Principles are conducive to superior organizational performance through:

- **Reinforcing strategic direction**
- **Enhancing organizational unity**
- **Motivating employees**

SOCIAL CORPORATE RESPONSIBILITY (SCR)

The Evolutionary Argument:

The firm as embedded within an ecosystem of social and natural environments, sensitivity to this ecosystem enhances the firm's adaptability (Arie De Geus, *The Living Company*)

Michael Porter and Mark Kramer's "Shared Value":

Firms should "*create economic value in a way which also creates value for society.*"

The benefits to the firm include:

- **By sustaining its natural and social environment, the firm improve its opportunities for survival and growth**
- **Enhancing the firm's reputation**
- **Endowing the firm with a *license-to-operate*.**

1. Strategy as a quest for value

- Creating value is the core purpose of business: but value for whom: shareholders or all stakeholders?
- For the purpose of strategy formulation, it's helpful to view firms as seeking to maximize lifetime profits.

2. Putting performance analysis into practice

- Starting point → Appraise the firm's performance and sources of underperformance.
- Profit ratios analysis.
- Setting performance targets → better to target the drivers of long-term performance than the performance indicators themselves.

3. Beyond profit: values and corporate social responsibility

- Values and principles are valuable in shaping an organization's character and and identity, motivating employees, and reinforcing unity and direction
- CSR not only a goal in itself, it help a firm create long-term profit through adaptability, reputation, and legitimacy.

The One Thing You need to Create Value - Advice from Steve Jobs and Bill Gates (3m.)

https://www.youtube.com/watch?v=juc9KvqTVIc



Thanks a lot!

Any questions?

CSR Insight: Ideas for Change - Michael Porter - Creating Shared Value (14 m.)

https://www.youtube.com/watch?v=xuG-1wYHOjY



OPTIONAL VIDEOS

- Watch this video to have a broad view of Financial Ratios for an investor manager.

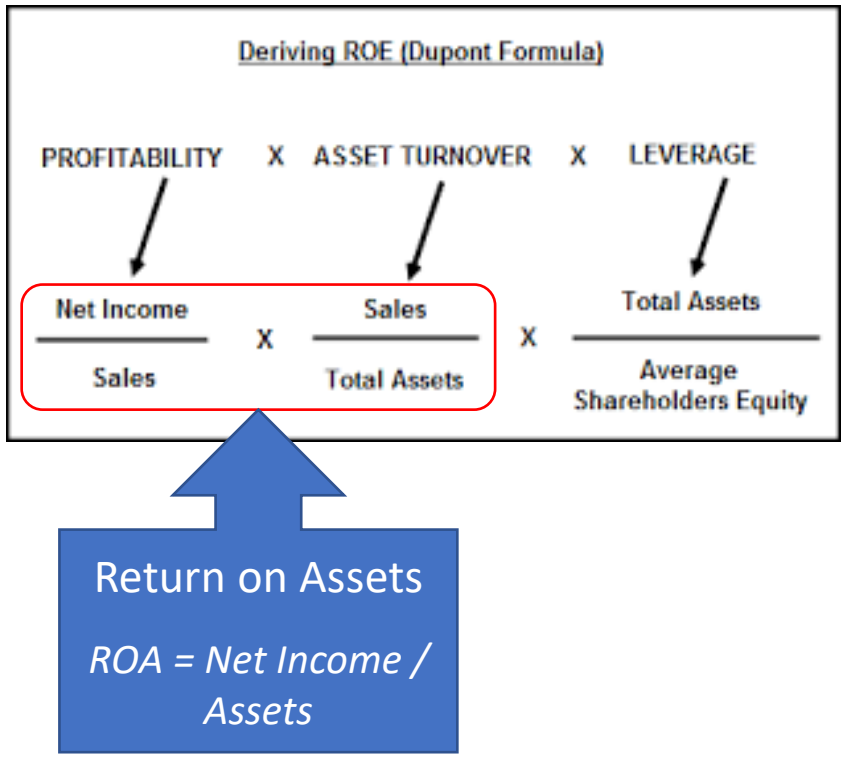
https://www.youtube.com/watch?v=EpYtGcweCOI

- Peter Lynch: Everything You Need to Know About Investing in One Video

https://www.youtube.com/watch?v=ol907h0G9LY

ROE

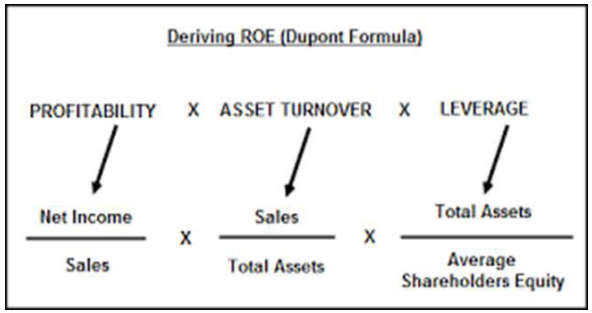
$$ROE = \frac{EBITDA\ (Net\ Income)}{Sales} =$$



Return on Assets

ROA = Net Income / Assets

ROE



Return on Equity

2006	2007	2008	2009	2010
18.74%	25.43%	32.89%	32.22%	32.32%

Net Profit Margin

2006	2007	2008	2009	2010
18.14%	20.80%	21.53%	17.10%	16.43%

Total Assets to Equity

2006	2007	2008	2009	2010
1.16	1.24	1.40	1.38	1.34

Asset Turnover

2006	2007	2008	2009	2010
0.89	0.98	1.09	1.37	1.47

Capital Structure Impact

2006	2007	2008	2009	2010
1.16	1.06	1.05	1.03	1.01

Tax Ratio

2006	2007	2008	2009	2010
77.81%	73.53%	71.46%	67.58%	75.22%

PPE/Capital Asset Turnover

2006	2007	2008	2009	2010
6.33	6.23	8.51	8.29	7.64

Working Capital Turnover

2006	2007	2008	2009	2010
5.34	4.11	4.37	4.42	5.33

EBIT Margin

2006	2007	2008	2009	2010
20.13%	26.58%	28.82%	24.61%	21.65%

Gross Margin

2006	2007	2008	2009	2010
55.20%	54.58%	51.26%	46.07%	44.03%

SG&A

2006	2007	2008	2009	2010
24.96%	17.70%	14.66%	13.51%	13.85%

Payable Turnover

2006	2007	2008	2009	2010
9.75	10.59	10.80	13.31	13.59

Inventory Turnover

2006	2007	2008	2009	2010
6.88	5.39	7.39	8.75	13.46

Dep. & Amort.

2006	2007	2008	2009	2010
2.42%	2.53%	1.80%	1.76%	2.08%

R&D

2006	2007	2008	2009	2010
7.69%	7.78%	5.99%	6.19%	6.45%

Receivable Turnover

2006	2007	2008	2009	2010
5.95	4.96	4.81	4.87	5.34

Cash Turnover

2006	2007	2008	2009	2010
4.50	4.49	5.07	13.24	9.64

ROI = ROS (Return on Sales) x Capital Turnover

ROI

- **ROS =** (EBIT / SALES) =

ROS (Return on Sales) → Measures how many profits the company is able to generate given its sales. It is a good proxy of efficiency of operations, because you can note that you have a sales component both in the numerator and in the denominator, but in the numerator you have also the cost of good sold component. This is why it could be read as a good measure of value capture.

EBIT = [Income – (Cost of Goods sold + other operating cost)

Sales = Turnover (or Business numbers)

- **Capital Turnover =** (Sales / (Fix assets + Working Capital)

Capital Turnover → Represents how many sales a company it is able to generate given the capital invested. This measure tends to vary greatly with industry characteristics because industries that require more capital tend to have a higher denominator. It is a good proxy of value creation, meaning how many sales and volume you are able to generate given your capital. But no cost proxy is inside this measure.

Sales = Turnover (or Business numbers)

Fix Assets = Long-term tangible piece of property or equipment.

Working Capital = Current Assets – Current Liabilities. Positive working capital indicates that a company can fund its current operations.